

QUICK COMMERCE OPERATIONS MANUAL

Version 4.2 | Effective Date: 01 January 2026

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Table of Contents

Section 1: Order Cancellation Definitions & Classification 2

Section 2: Cancellation Rate Calculation Methodology 4

Section 3: Inventory Management & Stockout Protocols 5

Section 4: Dark Store Operations & Utilization Standards 6

Section 5: Demand Forecasting & Slotting Guidelines 7

Appendix A: Historical Cancellation Trends (2024–2025) 7

Appendix B: Re-opened Order Handling Standards 8

Appendix C: Root Cause Coding Framework 8

Section 1: Order Cancellation Definitions & Classification

1.1 Purpose

This section defines the standard classification of order cancellations and the methodology for calculating cancellation rates across all dark stores and cities.

- Establish a unified vocabulary and classification system for order cancellations.
- Ensure seamless data aggregation and cross-comparative analysis across dark stores and regional hubs.
- Maintain operational transparency and identify systemic inefficiencies impacting customer satisfaction and growth.

1.2 Cancellation Categories

- Inventory Mismatch: Order cancelled due to stock-out at dark store at time of picking.
- Delivery Slot Unavailable: Customer could not select a preferred delivery slot.
- Customer Change of Mind: Customer voluntarily cancels before dispatch.
- App/Technical Issue: Cancellation due to app crash, payment failure, or technical error.
- Other: All remaining categories (wrong address, duplicate order, etc.).
 - Accurate categorization serves as the foundation for root cause analysis.
 - Identify specific operational levers, such as real-time syncing issues or backend instability.
 - Managers must verify reason codes during the cancellation workflow to maintain data integrity.

1.3 Reporting Standards

All cancellations must be logged in the central OMS within 15 minutes of occurrence.

Weekly consolidated reports are submitted to the COO office every Monday by 10 AM.

- Reporting speed correlates directly with recovery effectiveness.
- Logging within 15 minutes enables immediate release of reserved delivery slots.

- Monday reports provide the empirical basis for strategic pivots and resource allocation.

Section 2: Cancellation Rate Calculation Methodology

2.1 Standard Calculation

Cancellation Rate (%) = (Total Cancelled Orders ÷ Total Placed Orders) × 100

- Provides a primary KPI snapshot of overall system health.
- Denominator must include all successful payment authorizations to reflect intent-to-purchase experience.

2.2 Headline vs True Cancellation Rate

The executive dashboard reports a headline cancellation rate based on initial cancellation flags. However, certain components are not fully captured in automated logging and require manual adjustment for accurate analysis.

- Headline Rate satisfies immediate needs but may underestimate operational friction.
- True Cancellation Rate incorporates manual interventions and edge-case failures.
- Deeper metrics provide honest assessments for long-term planning and audits.

Section 3: Inventory Management & Stockout Protocols

3.1 Stockout Definition

A stockout is defined as any SKU falling below 15% of planned buffer stock at the start of a shift.

- Protective measure to account for "phantom inventory" (damaged or misplaced items).
- Triggers a warning state for high-risk cancellation potential during shifts.

3.2 Stockout Response Protocol

Dark store managers must raise a stockout alert within 10 minutes. Replenishment must be triggered within 30 minutes for top 500 SKUs.

- Alert window ensures intervention before shortages impact customer orders.
- Prioritizes high-velocity items contributing to majority of revenue and retention.

Section 4: Dark Store Operations & Utilization Standards

4.1 Target Utilization

Target dark store utilization is 75–80%. Utilization below 65% for more than 2 consecutive weeks must be escalated to the Regional Operations Head.

- Ensures maximum ROI without overtaxing workforce or infrastructure.
- Low utilization suggests failed marketing or over-staffing.
- Escalation triggers decisions on labor reallocation or demand-generation campaigns.

4.2 Utilization Calculation

Utilization (%) = (Actual Orders Processed ÷ Maximum Order Handling Capacity) × 100

- Calculated based on active pickers, conveyor speed, and packing time.
- Identifies operational headroom and prevents bottlenecks.

Section 5: Demand Forecasting & Slotting Guidelines

5.1 Forecasting Frequency

Demand forecasts are updated every 4 hours for top 1,000 SKUs and every 12 hours for remaining SKUs.

Quick commerce relies on hyper-local trends that can change within hours due to weather, local events, or time-of-day preferences. The 4-hour update cycle for top SKUs allows our procurement engine to adjust replenishment routes in near real-time. This high-frequency modeling minimizes both stockouts and wastage, directly protecting the bottom line in a low-margin environment.

5.2 Slotting Rules

Delivery slots must be opened based on real-time inventory and picker availability. Overbooking beyond 110% of capacity is strictly prohibited.

The slotting engine must prioritize the integrity of the delivery promise over sheer volume. While the 110% overbooking limit allows for some natural cancellation attrition, exceeding it creates a "domino effect" of delayed deliveries that damages brand equity. These rules are hard-coded into the store management interface and can only be overridden during declared emergency scenarios with regional approval.

Appendix A: Historical Cancellation Trends (2024–2025)

Year	Average Cancellation Rate	Peak Month Rate	Primary Driver
2024	7.8%	9.4% (Diwali)	Inventory mismatch
2025	8.1%	11.2% (Year-end sale)	Slot unavailability

Year	Average Cancellation Rate	Peak Month Rate	Primary Driver
2026 (YTD)	11.4%	14.8% (Jan)	Under investigation

Appendix B: Re-opened Order Handling Standards (Page 31)

B.1 Definition of Re-opened Order

An order is classified as "re-opened" if it is cancelled after initial resolution or if the customer raises a complaint within 48 hours of delivery.

Re-opened orders are a critical indicator of poor "First Time Resolution." When a customer re-contacts us after an order was supposedly closed, it typically signals that the underlying issue—such as a missing item or poor quality produce—was not addressed. Tracking these prevents us from overestimating our operational success and helps identify training gaps in our customer support and picking teams.

B.2 Logging Requirements

Reason codes ranging from REOPEN-01 to REOPEN-12 provide granular insights into the failure points of our resolution workflows. For example, REOPEN-04 specifically tracks "Incomplete Refund," while REOPEN-09 tracks "Incorrect Replacement."

Adherence to these logging standards is audited monthly to ensure that our customer service data remains actionable and representative of the actual user experience.

Appendix C: Root Cause Coding Framework

C.1 Standard Root Cause Codes

RC-01: Inventory Mismatch – Stockout at picking

RC-02: Delivery Slot Unavailable – No slot available

RC-03: Customer Change of Mind – Voluntary cancellation

RC-04: App/Technical Issue – Platform error

RC-05: Wrong Address / Contact Issue

RC-06: Duplicate Order

RC-07: Payment Failure

RC-08: Other

The Root Cause Code (RCC) framework is the primary tool used by our data science team to build predictive models for cancellation risk. By mapping every cancellation to a specific code, we can automate the dispatch of remedial actions. For instance, an RCC-01 trigger automatically updates the local inventory count for that SKU to zero to prevent further cancellations for the same item within minutes.

C.2 Re-opened Order Adjustment

Orders that are initially marked as "Resolved" but later re-cancelled must be reclassified under the correct root cause code and added to the true cancellation count.

The adjustment process ensures that our final reporting reflects the "True Cancellation Rate." This manual or semi-automated reconciliation happens at the end of every fiscal week. It prevents successful initial resolutions from masking long-term failure trends, ensuring that the COO and senior leadership are making investment decisions based on the most accurate, unfiltered data available from the field.

Footnote 12:

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The reported cancellation rate of 14.8% excludes re-opened and subsequently re-cancelled orders. When these are included, the **true cancellation rate rises to 18.4%.**

This adjusted rate must be used as the baseline for all root cause analysis, performance evaluation, and investment decisions.